Ameriprise Financial

Apple (AAPL)

An Ameriprise Investment Research Group publication

Sector: Information Technology
Investment style: Large Cap Growth
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January 30, 2026

Investment Opinion: Buy

Key Takeaways

- Fiscal 1Q'26 results beat expectations, driven by a 23% increase in iPhone revenue and a 38% rebound in Greater China revenues, helping to validate the AI-driven hardware "Supercycle."
- Services revenue reached a new record at $30.0B up 14% y/y, providing continued support from the installed base and recurring monetization, even as the quarter's upside skewed toward hardware
- Current quarter revenues are expected to grow 13% to 16% y/y and gross margin expected between 48% and 49%, though the outlook incorporates constrained iPhone supply and higher memory cost pressure than in 1Q'26.
- In our view, Apple continues to represent one of the most attractive business franchises in the sector, and we reiterate our buy rating on AAPL shares.

Fiscal First Quarter Results

iPhone Strength and China Rebound Drive Results

In fiscal 1Q'26, Apple delivered a clear beat versus consensus, driven by record company revenue and EPS, with iPhone strength and a sharp rebound in Greater China as the primary upside contributors. Services also reached a new quarterly record, reinforcing the durability of Apple's ecosystem monetization even as the headline upside skewed toward hardware this quarter. Looking ahead, management guided for a strong March quarter while emphasizing that the outlook incorporates constrained iPhone supply tied to leading edge chip availability and an expected increase in memory cost pressure versus the December quarter. Strategically, Apple reiterated its privacy-led AI posture, with planned AI features running on device and, for heavier workloads, through Private Cloud Compute, alongside continued collaboration with Google for next generation experiences, which in our view supports product differentiation without requiring Apple to follow the hyperscaler infrastructure playbook.

Fiscal 1Q'26 Performance Overview

In fiscal 1Q'26, Apple delivered EPS of $2.84 and revenue of $143.76 billion, comfortably clearing consensus estimates of $2.67 and $138.48 billion, respectively. Critically, gross margin expanded to 48.2%, beating the 47.5% expectation, demonstrating that a favorable shift toward premium iPhone models is effectively neutralizing component cost inflation.

Continued on the next page.

FactSet Consensus Target Price	$292.26
Prior Day's Closing Price	$256.44
52 Week Range	$288.62- $169.21
Market Capitalization ($m)	$3,769,136.12
Beta Versus the S&P 500	1.30
Book Value Per Share	$4.99
Trailing 12- Month P/E	33.2x
Forward 12-Month P/E	30.1x
Price/Book	51.4x
Price/Sales	9.2x
Price/Operating Cash Flow	34.5x
Annual Dividend	1.04
Dividend Yield	0.4%

Source for chart and data: FactSet

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Revenue
(in millions of U.S. Dollars) Fiscal Year ends in September

Year	Q1	Q2	Q3	Q4	FY
2025 (A)	124,300	95,359	94,036	102,466	416,161
2026	143,756 (A)	104,932	99,682	110,108	452,254
2027	146,701	112,063	107,004	116,671	484,066

A = Actual | *Source: FactSet*

Operating earnings
(per share in U.S. Dollars | a non-GAAP metric) Fiscal Year ends in September

Year	Q1	Q2	Q3	Q4	FY	FY P/E
2025 (A)	2.40	1.65	1.57	1.85	7.46	34.1x
2026	2.84 (A)	1.84	1.70	1.98	8.23	31.4x
2027	2.90	2.07	1.96	2.21	9.12	28.3x

A = Actual | *Source: FactSet*

This operational discipline translated into arguably the most impressive metric of the print: approximately $54 billion in operating cash flow. This level of liquidity enabled Apple to return $32 billion to shareholders in just 90 days, reinforcing what we view as a unique "Capital Light" AI strategy that preserves financial flexibility unlike other mega-cap peers.

Managing Constraints in a Demand-Rich Environment

Management's guidance for the March quarter projects revenue growth of 13% to 16% year-over-year, materially above prior estimates. Notably, this outlook appears to be defined not by demand, but "constrained" iPhone supply, specifically regarding advanced silicon nodes. Despite explicitly flagging rising memory prices as a meaningful headwind for Q2, the profitability outlook remains resilient. Management guided gross margins to 48-49%, suggesting that a favorable mix shift toward premium units is actively neutralizing component inflation.

On the strategic front, Apple clarified its "Capital Light" AI approach. Management reiterated a hybrid deployment model, balancing on-device processing with Private Cloud Compute (PCC) for privacy-centric differentiation, while revealing a critical collaboration with Google to power next-generation Siri foundation models. This partnership effectively allows Apple to leverage external infrastructure for heavy training workloads while maintaining its privacy standards. In our view, the combination of supply-capped revenue growth and disciplined AI investment reinforces our view that Apple is successfully monetizing the "Hardware Supercycle" today while intelligently mitigating the capital intensity of the AI arms race.

iPhone and China Offer Upside Surprise with Services Supporting Scale

Apple's increasing investment in Artificial Intelligence remains a critical theme, but the financial footprint is showing up more clearly in operating spend, as opposed to a hyperscaler-style infrastructure ramp. R&D increased to $10.9B in fiscal 1Q'26, and management explicitly framed AI as requiring incremental investment on top of the normal product roadmap. Strategically, management continues to position Apple Intelligence as a hybrid architecture, running on-device where possible and escalating heavier requests to Private Cloud Compute, with management emphasizing privacy standards as a differentiator. Notably, and unlike most of its mega-cap peers, Apple's gross margin expanded to 48.2% in 1Q'26, supported by mix and scale, even as the company increases operating expense and higher AI-related investment needs. In our view, Apple's AI strategy is best understood as a privacy-led, device-centric approach that leverages its installed base and silicon advantages, complemented by Private Cloud Compute and selected external model collaborations to extend capability without ceding control of the user experience.

Valuation

At a price of $258.28, shares of AAPL trade at a forward earnings multiple of approximately 30x. This valuation compares to the broader Information Technology sector, which trades at an expected next 12 months earnings multiple of around 29x. We believe this valuation is supported by Apple's robust cash generation capabilities and its capacity for sustained growth through its product and service offerings. While acknowledging that the current valuation, for a company of Apple's scale, necessitates precise execution, we believe the enduring strength of its ecosystem and the ongoing product upgrade cycles position the company for continued relevance. We also note that, during the quarter, Apple returned $24 billion to shareholders, including $3.9 billion in dividends and $20 billion through open market repurchases of 89 million shares. In our view this perspective suggests a compelling long-term profile for investors with a moderate risk tolerance.

Investment Thesis

In our view, Apple represents one of the most attractive business franchises globally, anchored by its diverse product portfolio (iPhone, iPad, Mac, Wearables) and its rapidly expanding Services segment. The company's unwavering commitment to quality, design, and seamless hardware-software interoperability has cultivated the most widely adopted technology ecosystem in history. This deeply integrated environment and unparalleled brand loyalty underpin a compelling value proposition and offer a robust degree of stability amidst market fluctuations.

We anticipate sustained demand and upgrade cycles over the next several quarters, driven by continuous innovation in core products and the expanding utility of the Apple ecosystem, further fueling engagement across its vast and growing installed base. We expect Apple's strategic investments in Services, which continues to demonstrate accelerated, high-margin growth, and the integration of advanced Artificial Intelligence capabilities across its platforms, including on-device AI and Private Cloud Compute infrastructure, to positively impact future revenues. In our view, these efforts are solidifying Apple's long-term financial strength, diversification, and competitive positioning in the evolving technology landscape.

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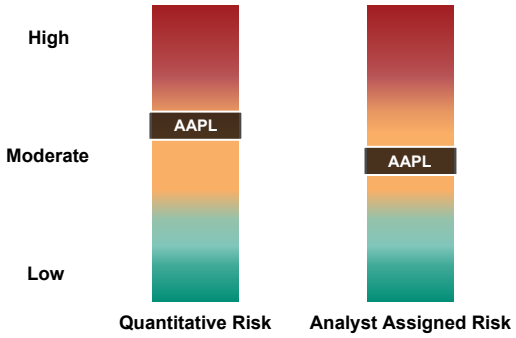
Risk Profile

Quantitative Risk Profile



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Analyst Risk Profile

The Analyst Risk Profile (ARP) is based on the analyst's knowledge of the company and its sector, including competitive dynamics and end markets, capital structure, management team, capital allocation decisions, future revenue and earnings expectations, and other factors that are reflected in a color-coded risk profile that ranges from Low to High. The analysts' assessment of these and other factors may produce an Analyst Risk Profile that may differ from the Quantitative Risk Profile.

Equity investing involves exposure to market volatility, changing economic conditions, and shifts in investor sentiment, all of which can affect company performance regardless of fundamentals.

Apple faces a range of risks tied to how its business model is evolving. A large portion of revenue still depends on hardware, particularly the iPhone, which exposes results to product cycles, consumer spending trends, and competitive pressures. If upgrade cycles lengthen due to weaker consumer demand or if new features, including artificial intelligence capabilities, fail to motivate users to replace devices, hardware revenue and product margins could come under pressure. At the same time, Apple's growing reliance on Services introduces sensitivity to regulatory scrutiny. Changes to app store rules, payment practices, advertising, or default search arrangements could alter pricing power or profitability, even if user engagement remains strong.

Global supply chains remain another source of uncertainty. Apple depends on a complex network of suppliers for semiconductors, memory, displays, and assembly. Disruptions tied to component shortages, rising input costs, tariffs, or geopolitical tensions could affect product availability, costs, or margins. China plays a dual role as both a major end market and a key manufacturing hub, which increases exposure to policy changes, trade restrictions, and shifts in local consumer sentiment.

Finally, Apple is investing heavily in artificial intelligence, custom silicon, and supporting infrastructure. These investments raise operating expenses and capital spending in the near to medium term, and there is no assurance that incremental revenue or margin benefits will scale quickly enough to offset those costs

Company Profile

Apple Inc. designs, manufactures, and markets a range of consumer electronics, software platforms, and digital services. The company's core products include smartphones, personal computers, tablets, and wearable devices, supported by proprietary operating systems and semiconductors. Apple also operates a growing services business that spans digital content, payments, cloud storage, and software distribution. Its business model is centered on vertical integration, an installed base of active devices, and a globally distributed supply chain and retail network.

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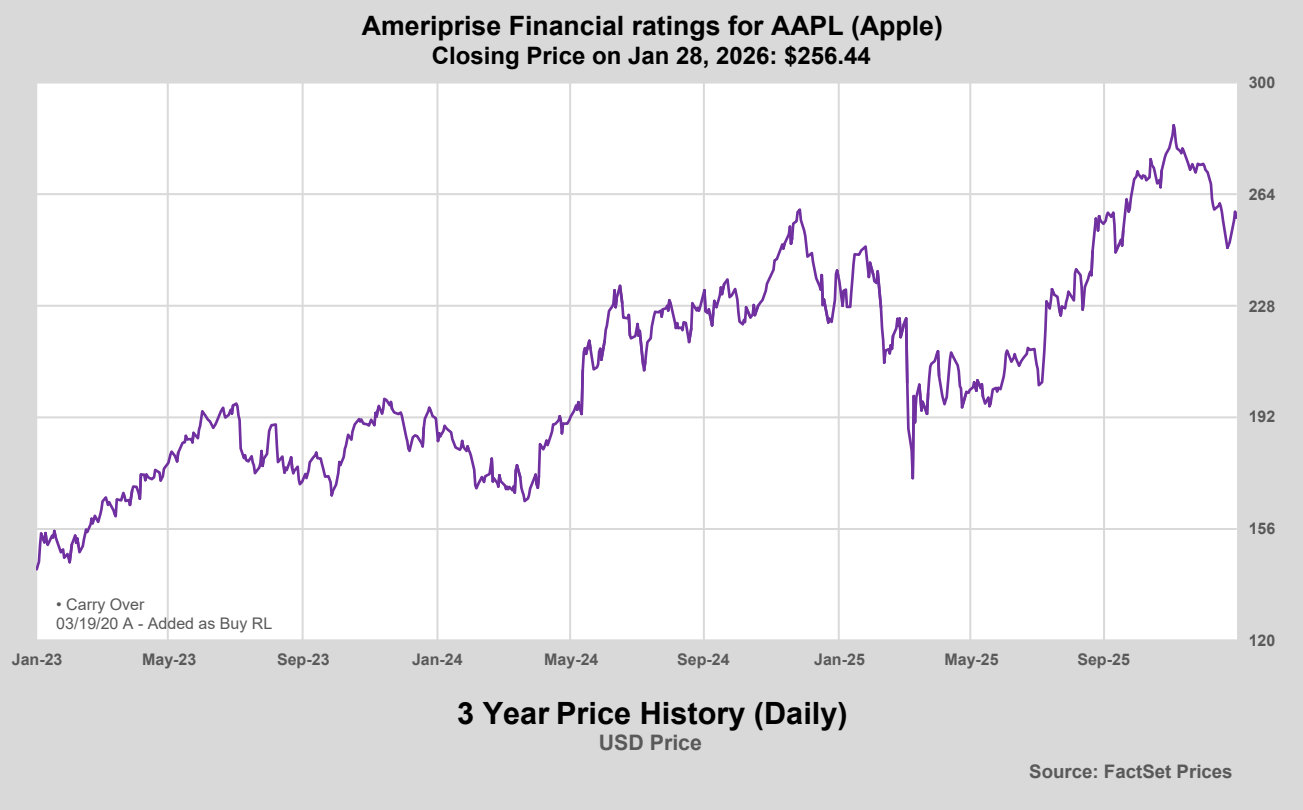

	Date	Action	Recommendation List	Keyword	Closing Price (USD)
A	**03/19/2020**	**Added as Buy**	Recommended List	RL	61.20

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As of December 31, 2025

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Buy Rating – The shares are expected to outperform the analyst's benchmark (or blended benchmark) over the next 12 months on a total return basis. We believe the company has healthy business prospects and/or attractive valuation metrics that could result in strong performance versus the benchmark.

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Distribution of Recommended List Stock Ratings:

	Count	Percent
BUY	154	90%
HOLD	18	10%
TOTAL	172	100%

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Correlation: Correlation is generally interpreted as the percentage of a stock's price movement that can be explained by movements in a benchmark, in this case, S&P 500 plus non-overlapping Recommended list stocks.
Standard Deviation (of price): Standard Deviation is a statistic that measures the dispersion of a set of data relative to its mean. When the data points are further away from the mean, there is a greater deviation from the mean and a higher standard deviation.
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